

1 ENGROSSED SENATE
2 BILL NO. 1144

By: Hall, Haste, and Pederson
of the Senate

3 and

4 Caldwell (Trey) and Kane of
5 the House

6
7 An Act relating to the Teachers' Retirement System of
8 Oklahoma; amending 3A O.S. 2021, Section 713, as last
9 amended by Section 5, Chapter 443, O.S.L. 2024 (3A
10 O.S. Supp. 2025, Section 713), which relates to the
11 apportionment of Oklahoma lottery proceeds; ceasing
12 certain apportionment to the Teachers' Retirement
13 System Dedicated Revenue Revolving Fund upon certain
14 conditions; increasing certain apportionment under
15 certain conditions; amending 62 O.S. 2021, Section
16 3103, as last amended by Section 2, Chapter 361,
17 O.S.L. 2024 (62 O.S. Supp. 2025, Section 3103), which
18 relates to the Oklahoma Pension Legislation Actuarial
19 Analysis Act; modifying certain definition; amending
20 68 O.S. 2021, Sections 1353, as last amended by
21 Section 4, Chapter 441, O.S.L. 2024, 1403, and 2352
22 (68 O.S. Supp. 2025, Section 1353), which relate to
23 the apportionment of tax proceeds; ceasing certain
24 apportionment to certain fund upon certain
conditions; increasing certain apportionment under
certain conditions; authorizing benefit increase for
certain retired members of the Teachers' Retirement
System of Oklahoma; updating statutory language;
providing for codification; and providing effective
dates.

21 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

22 SECTION 1. AMENDATORY 3A O.S. 2021, Section 713, as last
23 amended by Section 5, Chapter 443, O.S.L. 2024 (3A O.S. Supp. 2025,
24 Section 713), is amended to read as follows:

1 Section 713. A. All gross proceeds shall be the property of
2 the Oklahoma Lottery Commission. From its gross proceeds, the
3 Commission shall pay the operating expenses of the Commission. At
4 least forty-five percent (45%) of gross proceeds shall be made
5 available as prize money. However, the provisions of this
6 subsection shall be deemed not to create any lien, entitlement,
7 cause of action, or other private right, and any rights of holders
8 of tickets or shares shall be determined by the Commission in
9 setting the terms of its lottery or lotteries.

10 B. There is hereby created in the State Treasury a fund to be
11 designated the "Oklahoma Education Lottery Trust Fund".
12 Expenditures from the fund shall be made upon warrants issued by the
13 State Treasurer against claims filed as prescribed by law with the
14 Director of the Office of Management and Enterprise Services for
15 approval and payment.

16 C. Upon their deposit into the State Treasury, any monies
17 representing a deposit of net proceeds shall then become the
18 unencumbered property of this state, and neither the Commission nor
19 the board of trustees shall have the power to agree or undertake
20 otherwise. The monies shall be invested by the State Treasurer in
21 accordance with state investment practices. All earnings
22 attributable to such investments shall likewise be the unencumbered
23 property of the state and shall accrue to the credit of the fund
24 provided for in subsection B of this section.

1 1. The first Sixty-five Million Dollars (\$65,000,000.00) of
2 monies contributed annually to the Oklahoma Education Lottery Trust
3 Fund shall only be appropriated as follows:

4 a. forty-five percent (45%) until the conditions of
5 paragraph 3 of this subsection have been met, and
6 after such conditions have been met fifty percent
7 (50%) for the following:

8 (1) kindergarten through twelfth grade public
9 education, including but not limited to
10 compensation and benefits for public school
11 teachers and support employees, and

12 (2) early childhood development programs, which shall
13 include but not be limited to costs associated
14 with prekindergarten and full-day kindergarten
15 programs,

16 b. forty-five percent (45%) for the following:

17 (1) tuition grants, loans and scholarships to
18 citizens of this state to enable such citizens to
19 attend colleges and universities located within
20 this state, regardless of whether such colleges
21 and universities are owned or operated by the
22 Oklahoma State Regents for Higher Education, or
23 to attend institutions operated under the
24 authority of the Oklahoma Department of Career

1 and Technology Education; provided, such tuition
2 grants, loans and scholarships shall not be made
3 to a citizen of this state to attend a college or
4 university which is not accredited by the
5 Oklahoma State Regents for Higher Education,

6 (2) construction of educational facilities for
7 elementary school districts, independent school
8 districts, The Oklahoma State System of Higher
9 Education, and career and technology education,

10 (3) capital outlay projects for elementary school
11 districts, independent school districts, The
12 Oklahoma State System of Higher Education, and
13 career and technology education,

14 (4) technology for public elementary school district,
15 independent school district, state higher
16 education, and career and technology education
17 facilities, which shall include but not be
18 limited to costs of providing to teachers at
19 accredited public institutions who teach levels
20 kindergarten through twelfth grade, personnel at
21 technology centers under the authority of the
22 Oklahoma State Department of Career and
23 Technology Education, and professors and
24 instructors within The Oklahoma State System of

1 Higher Education, the necessary training in the
2 use and application of computers and advanced
3 electronic instructional technology to implement
4 interactive learning environments in the
5 classroom and to access the statewide distance
6 learning network and costs associated with
7 repairing and maintaining advanced electronic
8 instructional technology,

9 (5) endowed chairs for professors at institutions of
10 higher education operated by The Oklahoma State
11 System of Higher Education, and

12 (6) programs and personnel of the Oklahoma School for
13 the Deaf and the Oklahoma School for the Blind,

14 c. five percent (5%) to the School Consolidation
15 Assistance Fund. When the total amount in the School
16 Consolidation Assistance Fund from all sources equals
17 Five Million Dollars (\$5,000,000.00), all monies
18 appropriated pursuant to this subparagraph which would
19 otherwise be deposited in the School Consolidation
20 Assistance Fund in excess of Five Million Dollars
21 (\$5,000,000.00) shall be allocated by the State
22 Department of Education to public schools based on the
23 audited end-of-year average daily membership in grades
24 8 through 12 during the preceding school year for the

1 purpose of purchasing technology equipment. If at any
2 time the total amount in the School Consolidation
3 Assistance Fund drops below Five Million Dollars
4 (\$5,000,000.00), the monies appropriated pursuant to
5 this subparagraph shall be deposited in the School
6 Consolidation Assistance Fund until the Fund again
7 reaches Five Million Dollars (\$5,000,000.00), and
8 d. subject to the provisions of paragraph 3 of this
9 subsection, five percent (5%) to the Teachers'
10 Retirement System Dedicated Revenue Revolving Fund.

11 In no instance shall the annual maximum percentage for
12 administrative costs, not including marketing and advertising costs,
13 funds set aside for prizes, commissions paid to retailers, contract
14 fees paid to gaming system vendors and instant ticket providers or
15 emergency-related capital expenses, exceed three percent (3%) of
16 sales.

17 2. The remaining portion of lottery annual net proceeds
18 deposited to the Oklahoma Education Lottery Trust Fund that exceeds
19 Sixty-five Million Dollars (\$65,000,000.00) shall be transferred by
20 the Office of Management and Enterprise Services to the credit of
21 the Teacher Empowerment Revolving Fund created in Section 6-190.2 of
22 Title 70 of the Oklahoma Statutes.

23 3. All apportionments to the Teachers' Retirement System
24 Dedicated Revenue Revolving Fund pursuant to this subsection shall

1 cease upon the earlier of June 30, 2036, or June 30 of the state
2 fiscal year in which a determination is made by an actuary employed
3 or contracted by the Teachers' Retirement System of Oklahoma that
4 the System has a funded ratio equal to or greater than one hundred
5 percent (100%).

6 D. The Legislature shall appropriate funds from the Oklahoma
7 Education Lottery Trust Fund only for the purposes specified in
8 subsection C of this section. Even when funds from the trust fund
9 are used for these purposes, the Legislature shall not use funds
10 from the trust fund to supplant or replace other state funds
11 supporting common education, higher education, or career and
12 technology education.

13 E. In order to ensure that the funds from the trust fund are
14 used to enhance and not supplant funding for education, the State
15 Board of Equalization shall examine and investigate appropriations
16 from the trust fund each year. At the meeting of the State Board of
17 Equalization held within five (5) days after the monthly
18 apportionment in February of each year, the State Board of
19 Equalization shall issue a finding and report which shall state
20 whether appropriations from the trust fund were used to enhance or
21 supplant education funding. If the State Board of Equalization
22 finds that education funding was supplanted by funds from the trust
23 fund, the Board shall specify the amount by which education funding
24 was supplanted. In this event, the Legislature shall not make any

1 appropriations for the ensuing fiscal year until an appropriation in
2 that amount is made to replenish the trust fund.

3 F. Except as otherwise provided by this subsection, no
4 deficiency in the Oklahoma Education Lottery Trust Fund shall be
5 replenished by reducing any nonlottery funds including, specifically
6 but without limitation, the General Revenue Fund, the Constitutional
7 Reserve Fund, or the Education Reform Revolving Fund of the State
8 Department of Education. No program or project started specifically
9 from lottery proceeds shall be continued from the General Revenue
10 Fund, the Constitutional Reserve Fund, or the Education Reform
11 Revolving Fund of the State Department of Education. Such programs
12 must be adjusted or discontinued according to available lottery
13 proceeds unless the Legislature by general law establishes
14 eligibility requirements and appropriates specific funds therefor.
15 No surplus in the Oklahoma Education Lottery Trust Fund shall be
16 reduced or transferred to correct any nonlottery deficiencies in
17 sums available for general appropriations. The provisions of this
18 subsection shall not apply to bonds or other obligations issued
19 pursuant to or to the repayment of bonds or other obligations issued
20 pursuant to the Oklahoma Higher Education Promise of Excellence Act
21 of 2005.

22 G. There is hereby created in the State Treasury a revolving
23 fund to be designated the "Oklahoma Education Lottery Revolving
24 Fund". The fund shall be a continuing fund, not subject to fiscal

1 year limitations, and shall consist of all monies received by the
2 Commission. All monies accruing to the credit of the Oklahoma
3 Education Lottery Revolving Fund are hereby appropriated and may be
4 budgeted and expended for the payment of net proceeds, prizes,
5 commissions to retailers, administrative expenses and all other
6 expenses arising out of the operation of the education lottery,
7 subject to the limitations provided in the Oklahoma Education
8 Lottery Act. Expenditures from the fund shall be made upon warrants
9 issued by the State Treasurer against claims filed as prescribed by
10 law with the Director of the Office of Management and Enterprise
11 Services for approval and payment.

12 The monies in the fund shall be invested by the State Treasurer
13 in accordance with state investment practices. All earnings
14 attributable to such investments shall likewise accrue to the credit
15 of the fund.

16 H. When appropriations from the Oklahoma Education Lottery
17 Trust Fund are made to common education pursuant to the provisions
18 of subparagraph a of paragraph 1 of subsection C of this section,
19 the appropriations shall be made available on a monthly basis. The
20 following process shall be used to ensure that the appropriations
21 are made available to common education in a timely manner:

22 1. Beginning in July of the fiscal year in which appropriations
23 are made to common education from the Oklahoma Education Lottery
24 Trust Fund, the Commission, on or before the ninth day of each

1 month, shall transfer to the State Treasurer, for credit to the
2 Oklahoma Education Lottery Trust Fund, one-twelfth (1/12) of the
3 annual apportionment due to common education as required by
4 subparagraph a of paragraph 1 of subsection C of this section;

5 2. The Director of the Office of Management and Enterprise
6 Services shall allocate the transfers provided for in paragraph 1 of
7 this subsection to the State Department of Education on a monthly
8 basis, not to exceed one-twelfth (1/12) of the annual apportionment
9 for the fiscal year; and

10 3. The total amount of transfers to the Oklahoma Education
11 Lottery Trust Fund of net lottery proceeds made pursuant to this
12 subsection shall not exceed the total appropriations made to common
13 education from the Oklahoma Education Lottery Trust Fund for the
14 specific fiscal year.

15 I. When appropriations from the Oklahoma Education Lottery
16 Trust Fund are made to The Oklahoma State System of Higher Education
17 pursuant to the provisions of subparagraph b of paragraph 1 of
18 subsection C of this section, the appropriations shall be made
19 available to the System on a monthly basis. The following process
20 shall be used to ensure that the appropriations are made available
21 to The Oklahoma State System of Higher Education in a timely manner:

22 1. Beginning in July of the fiscal year in which appropriations
23 are made to The Oklahoma State System of Higher Education from the
24 Oklahoma Education Lottery Trust Fund, the Commission, on or before

1 the ninth day of each month, shall transfer to the State Treasurer,
2 for credit to the Oklahoma Education Lottery Trust Fund one-twelfth
3 (1/12) of the annual apportionment due to the Oklahoma State Regents
4 for Higher Education as required by subparagraph b of paragraph 1 of
5 subsection C of this section;

6 2. The Director of the Office of Management and Enterprise
7 Services shall allocate the transfers provided for in paragraph 1 of
8 this subsection to the Oklahoma State Regents for Higher Education
9 on a monthly basis, not to exceed one-twelfth (1/12) of the annual
10 apportionment for the fiscal year; and

11 3. The total amount of transfers to the Oklahoma Education
12 Lottery Trust Fund of net lottery proceeds made pursuant to this
13 subsection shall not exceed the total appropriations made to The
14 Oklahoma State System for Higher Education from the Oklahoma
15 Education Lottery Trust Fund for the specific fiscal year.

16 J. When appropriations from the Oklahoma Education Lottery
17 Trust Fund are made to the Oklahoma Department of Career and
18 Technology Education, pursuant to the provisions of subparagraph b
19 of paragraph 1 of subsection C of this section, the appropriations
20 shall be made available on an annual basis. The following process
21 shall be used to ensure that the appropriations to the Oklahoma
22 Education Lottery Trust Fund are available for the Oklahoma
23 Department of Career and Technology Education in a timely manner:
24

1 1. Beginning in July of the fiscal year in which appropriations
2 are made to the Oklahoma Department of Career and Technology
3 Education from the Oklahoma Education Lottery Trust Fund, the
4 Commission, on or before the ninth day of each quarter, shall
5 transfer to the State Treasurer, for credit to the Oklahoma
6 Education Lottery Trust Fund, one-fourth (1/4) of the annual
7 apportionment due to the Oklahoma Department of Career and
8 Technology Education as required by subparagraph b of paragraph 1 of
9 subsection C of this section;

10 2. The Director of the Office of Management and Enterprise
11 Services shall allocate the transfer provided for in paragraph 1 of
12 this subsection to the Oklahoma Department of Career and Technology
13 Education on a quarterly basis, not to exceed one-fourth (1/4) of
14 the annual apportionment for the fiscal year; and

15 3. The total amount of transfers to the Oklahoma Education
16 Lottery Trust Fund of net lottery proceeds made pursuant to this
17 subsection shall not exceed the total appropriations made to the
18 Oklahoma Department of Career and Technology Education from the
19 Oklahoma Education Lottery Trust Fund for the specific fiscal year.

20 K. When appropriations from the Oklahoma Education Lottery
21 Trust Fund are made to the School Consolidation Assistance Fund and
22 Teachers' Retirement System Dedicated Revenue Revolving Fund,
23 pursuant to the provisions of subparagraphs c and d of paragraph 1
24 of subsection C of this section, the appropriations shall be made

1 available on an annual basis. The following process shall be used
2 to ensure that the appropriations to the Oklahoma Education Lottery
3 Trust Fund are made available to the School Consolidation Assistance
4 Fund and Teachers' Retirement System Dedicated Revenue Revolving
5 Fund in a timely manner:

6 1. Beginning in July of the fiscal year in which appropriations
7 are made to the School Consolidation Assistance Fund and the
8 Teachers' Retirement System Dedicated Revenue Revolving Fund from
9 the Oklahoma Education Lottery Trust Fund, the Commission, on or
10 before the ninth day of each quarter, shall transfer to the State
11 Treasurer, for credit to the Oklahoma Education Lottery Trust Fund,
12 one-fourth (1/4) of the annual apportionment due to the School
13 Consolidation Assistance Fund and the Teachers' Retirement System
14 Dedicated Revenue Revolving Fund as required by subparagraphs c and
15 d of paragraph 1 of subsection C of this section;

16 2. The Director of the Office of Management and Enterprise
17 Services shall allocate the transfers provided for in paragraph 1 of
18 this subsection to the School Consolidation Assistance Fund and the
19 Teachers' Retirement System Dedicated Revenue Revolving Fund on a
20 quarterly basis, not to exceed one-fourth (1/4) of the annual
21 apportionment for the fiscal year; and

22 3. The total amount of transfers to the Oklahoma Education
23 Lottery Trust Fund of net lottery proceeds made pursuant to this
24 subsection shall not exceed the total appropriations made to the

1 School Consolidation Assistance Fund and the Teachers' Retirement
2 System Dedicated Revenue Revolving Fund from the Oklahoma Education
3 Lottery Trust Fund for the specific fiscal year.

4 L. At the conclusion of each fiscal year, the Oklahoma Lottery
5 Commission shall make available all remaining profits to the
6 Oklahoma Education Lottery Trust Fund in the following manner:

7 1. By July 9 of the proceeding fiscal year, the Oklahoma
8 Lottery Commission shall transfer the five percent (5%) difference
9 between the previous year's State Board of Equalization estimate and
10 the appropriated amount. The cash contribution shall be available
11 for appropriation in the following legislative session pending
12 profit exists above and beyond the prior year's annual
13 appropriation; and

14 2. By September 30, the Oklahoma Lottery Commission shall
15 transfer all remaining profit as established by an external
16 financial audit pursuant to Section 733 of this title. This cash
17 contribution shall be available for appropriation in the following
18 legislative session pending profit exists above and beyond the prior
19 year's annual appropriation.

20 SECTION 2. AMENDATORY 62 O.S. 2021, Section 3103, as
21 last amended by Section 2, Chapter 361, O.S.L. 2024 (62 O.S. Supp.
22 2025, Section 3103), is amended to read as follows:

23 Section 3103. As used in the Oklahoma Pension Legislation
24 Actuarial Analysis Act:

1 1. "Amendment" means any amendment, including a substitute
2 bill, made to a retirement bill by any committee of the House of
3 Representatives or Senate, any conference committee of the House or
4 Senate or by the House or Senate;

5 2. "RB number" means that number preceded by the letters "RB"
6 assigned to a retirement bill by the respective staffs of the
7 ~~Oklahoma State~~ Senate and the ~~Oklahoma~~ House of Representatives when
8 the respective staff office prepares a retirement bill for a member
9 of the Legislature;

10 3. "Legislative Actuary" means the firm or entity that enters
11 into a contract with the Legislative Service Bureau pursuant to
12 Section 452.15 of Title 74 of the Oklahoma Statutes to provide the
13 actuarial services and other duties provided for in the Oklahoma
14 Pension Legislation Actuarial Analysis Act;

15 4. "Nonfiscal amendment" means an amendment to a retirement
16 bill having a fiscal impact, which amendment does not change any
17 factor of an actuarial investigation specified in subsection A of
18 Section 3109 of this title;

19 5. "Nonfiscal retirement bill" means a retirement bill:

- 20 a. which does not affect the cost or funding factors of a
21 retirement system,
- 22 b. which affects such factors only in a manner which does
23 not:

- (1) grant a benefit increase under the retirement system affected by the bill,
 - (2) create an actuarial accrued liability for or increase the actuarial accrued liability of the retirement system affected by the bill, or
 - (3) increase the normal cost of the retirement system affected by the bill,
- c. which authorizes the purchase by an active member of the retirement system, at the actuarial cost for the purchase as computed pursuant to the statute in effect on the effective date of the measure allowing such purchase, of years of service for purposes of reaching a normal retirement date in the applicable retirement system, but which cannot be used in order to compute the number of years of service for purposes of computing the retirement benefit for the member,
- d. which provides for the computation of a service-connected disability retirement benefit for members of the Oklahoma Law Enforcement Retirement System pursuant to Section 2-305 of Title 47 of the Oklahoma Statutes if the members were unable to complete twenty (20) years of service as a result of the disability,
- e. which requires membership in the defined benefit plan authorized by Section 901 et seq. of Title 74 of the

Oklahoma Statutes for persons whose first elected or appointed service occurs on or after November 1, 2018, if such persons had any prior service in the Oklahoma Public Employees Retirement System prior to November 1, 2015,

f. which provides for a one-time increase in retirement benefits if the increase in retirement benefits is not a permanent increase in the gross annual retirement benefit payable to a member or beneficiary, occurs only once pursuant to a single statutory authorization and does not exceed:

(1) the lesser of two percent (2%) of the gross annual retirement benefit of the member or One Thousand Dollars (\$1,000.00) and requires that the benefit may only be provided if the funded ratio of the affected retirement system would not be less than sixty percent (60%) but not greater than eighty percent (80%) after the benefit increase is paid,

(2) the lesser of two percent (2%) of the gross annual retirement benefit of the member or One Thousand Two Hundred Dollars (\$1,200.00) and requires that the benefit may only be provided if the funded ratio of the affected retirement

1 system would be greater than eighty percent (80%)
2 but not greater than one hundred percent (100%)
3 after the benefit increase is paid,

4 (3) the lesser of two percent (2%) of the gross
5 annual retirement benefit of the member or One
6 Thousand Four Hundred Dollars (\$1,400.00) and
7 requires that the benefit may only be provided if
8 the funded ratio of the affected retirement
9 system would be greater than one hundred percent
10 (100%) after the benefit increase is paid, or

11 (4) the greater of two percent (2%) of the gross
12 annual retirement benefit of the volunteer
13 firefighter or One Hundred Dollars (\$100.00) for
14 persons who retired from the Oklahoma
15 Firefighters Pension and Retirement System as
16 volunteer firefighters and who did not retire
17 from the Oklahoma Firefighters Pension and
18 Retirement System as a paid firefighter.

19 As used in this subparagraph, "funded ratio" means the
20 figure derived by dividing the actuarial value of
21 assets of the applicable retirement system by the
22 actuarial accrued liability of the applicable
23 retirement system,

24

- 1 g. which modifies the disability pension standard for
2 police officers who are members of the Oklahoma Police
3 Pension and Retirement System as provided by Section
4 50-115 of Title 11 of the Oklahoma Statutes,
5 h. which provides a cost-of-living benefit increase
6 pursuant to the provisions of:
7 (1) Section 49-143.7 of Title 11 of the Oklahoma
8 Statutes,
9 (2) Section 50-136.9 of Title 11 of the Oklahoma
10 Statutes,
11 (3) Section 1104K of Title 20 of the Oklahoma
12 Statutes,
13 (4) Section 2-305.12 of Title 47 of the Oklahoma
14 Statutes,
15 (5) Section 17-116.22 of Title 70 of the Oklahoma
16 Statutes,
17 (6) Section 6 of this act,
18 (7) Section 930.11 of Title 74 of the Oklahoma
19 Statutes,
20 i. which modifies the computation of the line-of-duty
21 disability benefit pursuant to the provisions of this
22 section and Sections 50-101 and 50-115 of Title 11 of
23 the Oklahoma Statutes, or
24

1 j. which authorizes membership in the Oklahoma Law
2 Enforcement Retirement System for active commissioned
3 or CLEET-certified agents of the Office of the
4 Attorney General or the Military Department of the
5 State of Oklahoma pursuant to Sections 3 and 4 of this
6 act.

7 A nonfiscal retirement bill shall include any retirement bill that
8 has as its sole purpose the appropriation or distribution or
9 redistribution of monies in some manner to a retirement system for
10 purposes of reducing the unfunded liability of such system or the
11 earmarking of a portion of the revenue from a tax to a retirement
12 system or increasing the percentage of the revenue earmarked from a
13 tax to a retirement system;

14 6. "Reduction-in-cost amendment" means an amendment to a
15 retirement bill having a fiscal impact which reduces the cost of the
16 bill as such cost is determined by the actuarial investigation for
17 the bill prepared pursuant to Section 3109 of this title;

18 7. "Retirement bill" means any bill or joint resolution
19 introduced or any bill or joint resolution amended by a member of
20 the Legislature which creates or amends any law directly affecting a
21 retirement system. A retirement bill shall not mean a bill or
22 resolution that impacts the revenue of any state tax in which a
23 portion of the revenue generated from such tax is earmarked for the
24 benefit of a retirement system;

1 8. "Retirement bill having a fiscal impact" means any
2 retirement bill creating or establishing a retirement system and any
3 other retirement bill other than a nonfiscal retirement bill; and

4 9. "Retirement system" means the Teachers' Retirement System of
5 Oklahoma, the Oklahoma Public Employees Retirement System, the
6 Uniform Retirement System for Justices and Judges, the Oklahoma
7 Firefighters Pension and Retirement System, the Oklahoma Police
8 Pension and Retirement System, the Oklahoma Law Enforcement
9 Retirement System, or a retirement system established after January
10 1, 2006.

11 SECTION 3. AMENDATORY 68 O.S. 2021, Section 1353, as
12 last amended by Section 4, Chapter 441, O.S.L. 2024 (68 O.S. Supp.
13 2025, Section 1353), is amended to read as follows:

14 Section 1353. A. It is hereby declared to be the purpose of
15 the Oklahoma Sales Tax Code to provide funds for the financing of
16 the program provided for by the Oklahoma Social Security Act and to
17 provide revenues for the support of the functions of the state
18 government of Oklahoma, and for this purpose it is hereby expressly
19 provided that, revenues derived pursuant to the provisions of the
20 Oklahoma Sales Tax Code, subject to the apportionment requirements
21 for the Oklahoma Tax Commission and Office of Management and
22 Enterprise Services Joint Computer Enhancement Fund provided by
23 Section 265 of this title, and further subject to the apportionment
24

requirement provided in subsection D of this section, shall be apportioned as follows:

1. ~~Except~~

a. Until the conditions of subparagraph c of paragraph 3 of this subsection have been met and except as provided in subsection C of this section, the following amounts shall be paid to the State Treasurer to be placed to the credit of the General Revenue Fund to be paid out pursuant to direct appropriation by the Legislature:

Fiscal Year	Amount
FY 2003 and FY 2004	86.04%
FY 2005	85.83%
FY 2006	85.54%
FY 2007	85.04%
FY 2008 through FY 2022	83.61%
FY 2023 through FY 2027	83.36%
FY 2028 and each fiscal year thereafter	83.61%, <u>and</u>

b. After such conditions of subparagraph c of paragraph 3 of this subsection have been met and except as provided in subsection C of this section, the following amounts shall be paid to the State Treasurer to be placed to the credit of the General Revenue Fund

to be paid out pursuant to direct appropriation by the
Legislature:

<u>Fiscal Year</u>	<u>Amount</u>
<u>FY 2003 and FY 2004</u>	<u>86.04%</u>
<u>FY 2005</u>	<u>85.83%</u>
<u>FY 2006</u>	<u>85.54%</u>
<u>FY 2007</u>	<u>85.04%</u>
<u>FY 2008 through FY 2022</u>	<u>83.61%</u>
<u>FY 2023 through FY 2027</u>	<u>83.36%</u>
<u>FY 2028 and each fiscal year thereafter</u>	<u>88.61%;</u>

2. The following amounts shall be paid to the State Treasurer
to be placed to the credit of the Education Reform Revolving Fund of
the State Department of Education:

a. for FY 2003, FY 2004 and FY 2005, ten and forty-two
one-hundredths percent (10.42%),

b. for FY 2006 through FY 2020, ten and forty-six one-
hundredths percent (10.46%),

c. for FY 2021:

(1) for the month beginning July 1, 2020, through the
month ending August 31, 2020, ten and forty-six
one-hundredths percent (10.46%), and

(2) for the month beginning September 1, 2020,
through the month ending June 30, 2021, eleven

and ninety-six one-hundredths percent (11.96%),

and

d. for FY 2022 and each fiscal year thereafter, ten and

forty-six one-hundredths percent (10.46%);

3. The Subject to the provisions of subparagraph c of this paragraph, the following amounts shall be paid to the State Treasurer to be placed to the credit of the Teachers' Retirement System Dedicated Revenue Revolving Fund:

Fiscal Year	Amount
FY 2003 and FY 2004	3.54%
FY 2005	3.75%
FY 2006	4.0%
FY 2007	4.5%
FY 2008 through FY 2020	5.0%
FY 2021:	
a. for the month beginning July 1, 2020, through the month ending August 31, 2020	5.0%
b. for the month beginning September 1, 2020, through the month ending June 30, 2021	3.5%
FY 2022	5.0%
FY 2023 through FY 2027	5.25%

FY 2028 and each fiscal year thereafter 5.0%,

c. all apportionments to the Teachers' Retirement System
Dedicated Revenue Revolving Fund, pursuant to this
subsection, shall cease upon the earlier of June 30,
2036, or June 30 of the state fiscal year in which a
determination is made by an actuary employed or
contracted by the Teachers' Retirement System of
Oklahoma that the System has a funded ratio equal to
or greater than one hundred percent (100%);

4. a. except as otherwise provided in subparagraph b of this
paragraph, for the fiscal year beginning July 1, 2022,
and for each fiscal year thereafter, eighty-seven one-
hundredths percent (0.87%) shall be paid to the State
Treasurer to be further apportioned as follows:

(1) twenty-four percent (24%) shall be placed to the
credit of the Oklahoma Tourism Promotion
Revolving Fund, but in no event shall such
apportionment exceed Five Million Dollars
(\$5,000,000.00) in any fiscal year,

(2) forty-four percent (44%) shall be placed to the
credit of the Oklahoma Tourism Capital
Improvement Revolving Fund, but in no event shall
such apportionment exceed Nine Million Dollars
(\$9,000,000.00) in any fiscal year, and

1 (3) thirty-two percent (32%) shall be placed to the
2 credit of the Oklahoma Route 66 Commission
3 Revolving Fund, but in no event shall such
4 apportionment exceed Six Million Six Hundred
5 Thousand Dollars (\$6,600,000.00) in any fiscal
6 year, and

7 b. any amounts which exceed the limitations of
8 subparagraph a of this paragraph shall be placed to
9 the credit of the General Revenue Fund; and

10 5. For the fiscal year beginning July 1, 2015, and for each
11 fiscal year thereafter, six one-hundredths percent (0.06%) shall be
12 placed to the credit of the Oklahoma Historical Society Capital
13 Improvement and Operations Revolving Fund, but in no event shall
14 such apportionment exceed the total amount apportioned pursuant to
15 this paragraph for the fiscal year ending on June 30, 2015. Any
16 amounts which exceed the limitations of this paragraph shall be
17 placed to the credit of the General Revenue Fund.

18 B. Provided, for the fiscal year beginning July 1, 2007, and
19 every fiscal year thereafter, an amount of revenue shall be
20 apportioned to each municipality or county which levies a sales tax
21 subject to the provisions of Section 1357.10 of this title and
22 subsection F of Section 2701 of this title equal to the amount of
23 sales tax revenue of such municipality or county exempted by the
24 provisions of Section 1357.10 of this title and subsection F of

1 Section 2701 of this title. The Oklahoma Tax Commission shall
2 promulgate and adopt rules necessary to implement the provisions of
3 this subsection.

4 C. From the monies that would otherwise be apportioned to the
5 General Revenue Fund pursuant to subsection A of this section, there
6 shall be apportioned the following amounts:

7 1. For the month ending August 31, 2019:

- 8 a. Nine Million Six Hundred Thousand Dollars
9 (\$9,600,000.00) to the credit of the State Highway
10 Construction and Maintenance Fund created in Section
11 1501 of Title 69 of the Oklahoma Statutes, and
12 b. Two Million Dollars (\$2,000,000.00) to the credit of
13 the Oklahoma Railroad Maintenance Revolving Fund
14 created in Section 309 of Title 66 of the Oklahoma
15 Statutes;

16 2. For the month ending September 30, 2019:

- 17 a. Twenty Million Dollars (\$20,000,000.00) to the credit
18 of the State Highway Construction and Maintenance Fund
19 created in Section 1501 of Title 69 of the Oklahoma
20 Statutes, and
21 b. Two Million Dollars (\$2,000,000.00) to the credit of
22 the Oklahoma Railroad Maintenance Revolving Fund
23 created in Section 309 of Title 66 of the Oklahoma
24 Statutes;

1 3. For the month ending October 31, 2019:

2 a. Twenty Million Dollars (\$20,000,000.00) to the credit
3 of the State Highway Construction and Maintenance Fund
4 created in Section 1501 of Title 69 of the Oklahoma
5 Statutes, and

6 b. Two Million Dollars (\$2,000,000.00) to the credit of
7 the Oklahoma Railroad Maintenance Revolving Fund
8 created in Section 309 of Title 66 of the Oklahoma
9 Statutes;

10 4. For the month ending November 30, 2019:

11 a. Twenty Million Dollars (\$20,000,000.00) to the credit
12 of the State Highway Construction and Maintenance Fund
13 created in Section 1501 of Title 69 of the Oklahoma
14 Statutes, and

15 b. Two Million Dollars (\$2,000,000.00) to the credit of
16 the Oklahoma Railroad Maintenance Revolving Fund
17 created in Section 309 of Title 66 of the Oklahoma
18 Statutes; and

19 5. For the month ending December 31, 2019:

20 a. Twenty Million Dollars (\$20,000,000.00) to the credit
21 of the State Highway Construction and Maintenance Fund
22 created in Section 1501 of Title 69 of the Oklahoma
23 Statutes, and
24

b. Two Million Dollars (\$2,000,000.00) to the credit of the Oklahoma Railroad Maintenance Revolving Fund created in Section 309 of Title 66 of the Oklahoma Statutes.

D. For fiscal year 2029, and each subsequent fiscal year, Fifty Million Dollars (\$50,000,000.00) shall be placed to the credit of the Oklahoma Capital Assets Maintenance and Protection Fund created in Section 2 188B of ~~this act~~ Title 73 of the Oklahoma Statutes.

SECTION 4. AMENDATORY 68 O.S. 2021, Section 1403, is amended to read as follows:

Section 1403. A. It is hereby declared to be the purpose of Section 1401 et seq. of this title to provide for the support of the functions of the state and local government of Oklahoma; and for this purpose and to this end, it is hereby expressly provided that the revenues derived hereunder, subject to the apportionment provided in subsection B of this section and to the apportionment requirements for the Oklahoma Tax Commission and Office of Management and Enterprise Services Joint Computer Enhancement Fund provided by Section 265 of this title, are hereby apportioned as follows:

1. ~~The~~

a. Until the conditions of subparagraph c of paragraph 3 of this subsection have been met, the following
amounts shall be paid by the Tax Commission to the

State Treasurer and placed to the credit of the
General Revenue Fund to be paid out pursuant to direct
appropriation by the Legislature:

Fiscal Year	Amount
FY 2004	85.35%
FY 2005	85.14%
FY 2006	85.54%
FY 2007	85.04%
FY 2008 through FY 2022	83.61%
FY 2023 through FY 2027	83.36%
FY 2028 and each fiscal year thereafter	83.61%, and

b. After such conditions of subparagraph c of paragraph 3
of this subsection have been met, the following
amounts shall be paid by the Tax Commission to the
State Treasurer and placed to the credit of the
General Revenue Fund to be paid out pursuant to direct
appropriation by the Legislature:

<u>Fiscal Year</u>	<u>Amount</u>
<u>FY 2004</u>	<u>85.35%</u>
<u>FY 2005</u>	<u>85.14%</u>
<u>FY 2006</u>	<u>85.54%</u>
<u>FY 2007</u>	<u>85.04%</u>
<u>FY 2008 through FY 2022</u>	<u>83.61%</u>
<u>FY 2023 through FY 2027</u>	<u>83.36%</u>

FY 2028 and each fiscal year thereafter 88.61%;

2. The following amounts shall be paid to the State Treasurer to be placed to the credit of the Education Reform Revolving Fund of the State Department of Education:

a. for FY 2020, ten and forty-six one-hundredths percent (10.46%),

b. for FY 2021:

(1) for the month beginning July 1, 2020, through the month ending August 31, 2020, ten and forty-six one-hundredths percent (10.46%), and

(2) for the month beginning September 1, 2020, through the month ending June 30, 2021, eleven and ninety-six one-hundredths percent (11.96%), and

c. for FY 2022 and each fiscal year thereafter, ten and forty-six one-hundredths percent (10.46%);

3. The Subject to the provisions of subparagraph c of this paragraph, the following amounts shall be paid to the State Treasurer to be placed to the credit of the Teachers' Retirement System Dedicated Revenue Revolving Fund:

Fiscal Year	Amount
FY 2003 and FY 2004	3.54%
FY 2005	3.75%
FY 2006	4.0%

FY 2007 4.5%

FY 2008 through FY 2020 5.0%

FY 2021:

a. for the month beginning July
1, 2020, through the month
ending August 31, 2020 5.0%

b. for the month beginning
September 1, 2020, through
the month ending June 30,
2021 3.5%

FY 2022 5.0%

FY 2023 through FY 2027 5.25%

FY 2028 and each fiscal year thereafter 5.0%;

c. all apportionments to the Teachers' Retirement System
Dedicated Revenue Revolving Fund, pursuant to this
subsection, shall cease upon the earlier of June 30,
2036, or June 30 of the state fiscal year in which a
determination is made by an actuary employed or
contracted by the Teachers' Retirement System of
Oklahoma that the System has a funded ratio equal to
or greater than one hundred percent (100%);

4. a. except as otherwise provided in subparagraph b of this
paragraph, for the fiscal year beginning July 1, 2015,
and for each fiscal year thereafter, eighty-seven one-

1 hundredths percent (0.87%) shall be paid to the State
2 Treasurer to be further apportioned as follows:

3 (1) thirty-six percent (36%) shall be placed to the
4 credit of the Oklahoma Tourism Promotion
5 Revolving Fund, but in no event shall such
6 apportionment exceed the total amount apportioned
7 pursuant to this division for the fiscal year
8 ending on June 30, 2015, and

9 (2) sixty-four percent (64%) shall be placed to the
10 credit of the Oklahoma Tourism Capital
11 Improvement Revolving Fund, but in no event shall
12 such apportionment exceed the total amount
13 apportioned pursuant to this division for the
14 fiscal year ending on June 30, 2015, and

15 b. any amounts which exceed the limitations of
16 subparagraph a of this paragraph shall be placed to
17 the credit of the General Revenue Fund; and

18 5. For the fiscal year beginning July 1, 2015, and for each
19 fiscal year thereafter, six one-hundredths percent (0.06%) shall be
20 placed to the credit of the Oklahoma Historical Society Capital
21 Improvement and Operations Revolving Fund, but in no event shall
22 such apportionment exceed the total amount apportioned pursuant to
23 this paragraph for the fiscal year ending on June 30, 2015. Any
24

1 amounts which exceed the limitations of this paragraph shall be
2 placed to the credit of the General Revenue Fund.

3 B. Prior to the apportionments otherwise provided in this
4 section, there shall be apportioned to the Education Reform
5 Revolving Fund of the State Department of Education the following
6 amounts in the following state fiscal years:

7 FY 2019 \$19,600,000.00; and

8 FY 2020 and each year thereafter \$20,500,000.00.

9 SECTION 5. AMENDATORY 68 O.S. 2021, Section 2352, is
10 amended to read as follows:

11 Section 2352. It is hereby declared to be the purpose of
12 Section 2351 et seq. of this title to provide revenue for general
13 governmental functions of state government; and, for that purpose
14 and to that end, it is expressly declared that the revenue derived
15 herefrom and penalties and interest thereon, subject to the
16 apportionment requirements for the Rebuilding Oklahoma Access and
17 Driver Safety Fund, the Oklahoma Tourism and Passenger Rail
18 Revolving Fund, the Public Transit Revolving Fund and the Education
19 Reform Revolving Fund to be derived from income tax revenue that
20 would otherwise be apportioned to the General Revenue Fund as
21 provided by Section 1521 of Title 69 of the Oklahoma Statutes,
22 subject to the apportionment requirements for the Oklahoma Tax
23 Commission and Office of Management and Enterprise Services Joint
24 Computer Enhancement Fund provided by Section 265 of this title, and

subject to the apportionment requirements for the Oklahoma State Capitol Building Repair and Restoration Fund provided by Section 19 of Title 73 of the Oklahoma Statutes, shall be distributed as follows:

1. For the fiscal year beginning July 1, 2002, the first Five Million Eight Hundred Thousand Dollars (\$5,800,000.00) of revenue derived pursuant to the provisions of subsections A, B and E of Section 2355 of this title shall be apportioned to the Education Reform Revolving Fund. The remainder of such revenue for the fiscal year beginning July 1, 2002, and all such revenue for each fiscal year thereafter shall be apportioned monthly as follows:

a. (1) Until the conditions of subparagraph e of this paragraph have been met, the following amounts shall be paid to the State Treasurer to be placed to the credit of the General Revenue Fund of the state for such fiscal year for the support of the state government to be paid out only pursuant to appropriation by the Legislature:

Fiscal Year	Amount
FY 2003 and FY 2004	87.12%
FY 2005	86.91%
FY 2006	86.66%
FY 2007	86.16%
FY 2008 through FY 2022	85.66%

FY 2023 through FY 2027 85.41%

FY 2028 and each

fiscal year thereafter 85.66%

Of the funds apportioned to the General Revenue

Fund pursuant to this ~~subparagraph~~ division,

until the expiration of the Filmed in Oklahoma

Act of 2021 as provided in Section ~~41~~ 3641 of

this ~~act~~ title, Thirty Million Dollars

(\$30,000,000.00) shall be transferred to the

Oklahoma Tax Commission for deposit in the Filmed

in Oklahoma Program Revolving Fund, and

(2) After such conditions of subparagraph e of this

paragraph have been met, the following amounts

shall be paid to the State Treasurer to be placed

to the credit of the General Revenue Fund of the

state for such fiscal year for the support of the

state government to be paid out only pursuant to

appropriation by the Legislature:

<u>Fiscal Year</u>	<u>Amount</u>
FY 2003 and FY 2004	87.12%
FY 2005	86.91%
FY 2006	86.66%
FY 2007	86.16%
FY 2008 through FY 2022	85.66%

FY 2023 through FY 2027 85.41%

FY 2028 and each

fiscal year thereafter 90.66%

Of the funds apportioned to the General Revenue

Fund pursuant to this division, until the

expiration of the Filmed in Oklahoma Act of 2021

as provided in Section 3641 of this title, Thirty

Million Dollars (\$30,000,000.00) shall be

transferred to the Oklahoma Tax Commission for

deposit in the Filmed in Oklahoma Program

Revolving Fund.

b. the following amounts shall be paid to the State Treasurer to be placed to the credit of the Education Reform Revolving Fund of the State Department of Education:

(1) for FY 2003 through FY 2020, eight and thirty-four one-hundredths percent (8.34%),

(2) for FY 2021:

(a) for the month beginning July 1, 2020,

through the month ending August 31, 2020,

eight and thirty-four one-hundredths percent

(8.34%), and

(b) for the month beginning September 1, 2020,

through the month ending June 30, 2021, nine

and eighty-four one-hundredths percent

(9.84%),

(3) for FY 2022 and each fiscal year thereafter,

eight and thirty-four one-hundredths percent

(8.34%) shall be paid to the State Treasurer to

be placed to the credit of the Education Reform

Revolving Fund,

c. subject to the provisions of subparagraph e of this

paragraph, the following amounts shall be paid to the

State Treasurer to be placed to the credit of the

Teachers' Retirement System Dedicated Revenue

Revolving Fund:

Fiscal Year	Amount
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FY 2003 and FY 2004	3.54%
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FY 2005	3.75%
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FY 2006	4.0%
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FY 2007	4.5%
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FY 2008 through FY 2020	5.0%
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FY 2021:

(1) for the month beginning

July 1, 2020, through

the month ending August

31, 2020	5.0%
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(2) for the month beginning
September 1, 2020,
through the month ending
June 30, 2021 3.5%
FY 2022 5.0%
FY 2023 through FY 2027 5.25%
FY 2028 and each fiscal
year thereafter 5.0%

d. for FY 2003 and each fiscal year thereafter, one
percent (1%) shall be placed to the credit of the Ad
Valorem Reimbursement Fund,

e. all apportionments to the Teachers' Retirement System
Dedicated Revenue Revolving Fund pursuant to this
paragraph, shall cease upon the earlier of June 30,
2036, or June 30 of the state fiscal year in which a
determination is made by an actuary employed or
contracted by the Teachers' Retirement System of
Oklahoma that the System has a funded ratio equal to
or greater than one hundred percent (100%);

2. Beginning July 1, 2003, for any period of time as certified
by the Oklahoma Development Finance Authority and the Oklahoma
Department of Commerce to be necessary for the repayment of
obligations issued by the Oklahoma Development Finance Authority
pursuant to Section 3654 of this title if the other sources of

1 revenue paid to or apportioned to the Quality Jobs Program Incentive
2 Leverage Fund are not adequate including the proceeds from payment
3 pursuant to the guaranty required by subsection M of Section 3654 of
4 this title, an amount certified by the Oklahoma Development Finance
5 Authority to the Oklahoma Tax Commission shall be apportioned to the
6 Quality Jobs Program Incentive Leverage Fund before any other
7 apportionments are made as otherwise authorized by this paragraph.
8 The Oklahoma Development Finance Authority shall certify to the
9 Oklahoma Tax Commission the time as of which the revenue authorized
10 for apportionment pursuant to this paragraph is no longer required.
11 After the certification, the revenue derived from the income tax
12 shall be apportioned in the manner otherwise provided by this
13 section. Except as otherwise provided by this paragraph, for the
14 fiscal year beginning July 1, 2002, the first Forty-one Million One
15 Hundred Ninety Thousand Eight Hundred Dollars (\$41,190,800.00) of
16 revenue derived pursuant to the provisions of subsections D and E of
17 Section 2355 of this title shall be apportioned to the Education
18 Reform Revolving Fund. The remainder of such revenue for the fiscal
19 year beginning July 1, 2002, and all such revenue for each fiscal
20 year thereafter, subject to the apportionment requirements for the
21 Oklahoma Tax Commission and Office of Management and Enterprise
22 Services Joint Computer Enhancement Fund provided by Section 265 of
23 this title, shall be apportioned monthly as follows:
24

a. (1) Until the conditions of subparagraph e of this paragraph have been met, the following amounts shall be paid to the State Treasurer to be placed to the credit of the General Revenue Fund of the state for such fiscal year for the support of the state government to be paid out only pursuant to appropriation by the Legislature:

Fiscal Year	Amount
FY 2003 and FY 2004	78.96%
FY 2005	78.75%
FY 2006	78.50%
FY 2007	78.0%

~~(1)~~ (a) FY 2018 through FY 2022
until the apportionment to
the General Revenue Fund
equals the moving five-
year average amount for
corporate income tax as
prescribed by paragraph 3
of this section

77.50%

(b) FY 2023 through FY 2027
until the apportionment to
the General Revenue Fund
equals the moving five-

year average amount for
 corporate income tax as
 prescribed by paragraph 3
 of this section 77.25%

(c) FY 2028 and each fiscal
 year thereafter until the
 apportionment to the
 General Revenue Fund
 equals the moving five-
 year average amount for
 corporate income tax as
 prescribed by paragraph 3
 of this section 77.50%

(2) after such conditions of subparagraph e of this
 paragraph have been met, the following amounts
 shall be paid to the State Treasurer to be placed
 to the credit of the General Revenue Fund of the
 state for such fiscal year for the support of the
 state government to be paid out only pursuant to
 appropriation by the Legislature:

<u>Fiscal Year</u>	<u>Amount</u>
<u>FY 2003 and FY 2004</u>	<u>78.96%</u>
<u>FY 2005</u>	<u>78.75%</u>
<u>FY 2006</u>	<u>78.50%</u>

1 FY 2007 78.0%

2 (a) FY 2018 through FY 2022 until the

3 apportionment to the General Revenue Fund

4 equals the moving five-year average amount

5 for corporate income tax as prescribed by

6 paragraph 3 of this section 77.50%

7 (b) FY 2023 through FY 2027

8 until the apportionment to

9 the General Revenue Fund

10 equals the moving five-

11 year average amount for

12 corporate income tax as

13 prescribed by paragraph 3

14 of this section 82.25%

15 (c) FY 2028 and each fiscal

16 year thereafter until the

17 apportionment to the

18 General Revenue Fund

19 equals the moving five-

20 year average amount for

21 corporate income tax as

22 prescribed by paragraph 3

23 of this section 82.50%

24

1 (3) there shall be apportioned from the tax levy
2 imposed on corporate income tax to the Revenue
3 Stabilization Fund created by Section 34.102 of
4 Title 62 of the Oklahoma Statutes, or to the
5 Constitutional Reserve Fund, as provided by
6 Section 34.102 of Title 62 of the Oklahoma
7 Statutes, the amount of revenue, if any, which
8 exceeds the moving five-year average amount as
9 defined pursuant to paragraph 3 of this section,

10 b. the following amounts shall be paid to the State
11 Treasurer to be placed to the credit of the Education
12 Reform Revolving Fund of the State Department of
13 Education:

14 (1) for FY 2003 through FY 2020, sixteen and five-
15 tenths percent (16.5%),

16 (2) for FY 2021:

17 (a) for the month beginning July 1, 2020,
18 through the month ending August 31, 2020,
19 sixteen and five-tenths percent (16.5%), and

20 (b) for the month beginning September 1, 2020,
21 through the month ending June 30, 2021,
22 eighteen percent (18%),

23 (3) for FY 2022, and each fiscal year thereafter,
24 sixteen and five-tenths percent (16.5%),

c. subject to the provisions of subparagraph e of this paragraph, the following amounts shall be paid to the State Treasurer to be placed to the credit of the Teachers' Retirement System Dedicated Revenue Revolving Fund:

Fiscal Year	Amount
FY 2003 and FY 2004	3.54%
FY 2005	3.75%
FY 2006	4.0%
FY 2007	4.5%
FY 2008 through FY 2020	5.0%
FY 2021:	
(1) for the month beginning July 1, 2020, through the month ending August 31, 2020	5.0%
(2) for the month beginning September 1, 2020, through the month ending June 30, 2021	3.5%
FY 2022	5.0%
FY 2023 through FY 2027	5.25%
FY 2028 and each fiscal year thereafter	5.0%

d. for FY 2003 and each fiscal year thereafter, one percent (1%) shall be placed to the credit of the Ad Valorem Reimbursement Fund,

e. all apportionments to the Teachers' Retirement System Dedicated Revenue Revolving Fund, pursuant to this paragraph, shall cease upon the earlier of June 30, 2036, or June 30 of the state fiscal year in which a determination is made by an actuary employed or contracted by the Teachers' Retirement System of Oklahoma that the System has a funded ratio equal to or greater than one hundred percent (100%); and

3. "Moving five-year average for corporate income tax" means, for purposes of the apportionments prescribed by this section, the amount of income tax on corporations, as determined by the State Board of Equalization in the manner prescribed by Section 34.103 of Title 62 of the Oklahoma Statutes.

SECTION 6. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 17-116.23 of Title 70, unless there is created a duplication in numbering, reads as follows:

Any person receiving benefits from the Teachers' Retirement System of Oklahoma as of June 30, 2026, who continues to receive benefits on or after the effective date of this section, shall receive an increase in benefits as follows:

1. Zero percent (0%) if the person has been retired for less than eight (8) years as of June 30, 2026;

2. Three percent (3%) if the person has been retired for at least eight (8) years but less than twenty (20) years as of June 30, 2026; and

3. Six percent (6%) if the person has been retired for twenty (20) years or more as of June 30, 2026.

SECTION 7. Section 2 of this act shall become effective October 1, 2026.

SECTION 8. Sections 1, 3, 4, 5, and 6 of this act shall become effective November 1, 2026.

Passed the Senate the 14th day of April, 2026.

Presiding Officer of the Senate

Passed the House of Representatives the ____ day of _____,
2026.

Presiding Officer of the House
of Representatives